Risk And Controls

Management Review Controls Training

Upon completion of this training, you will understand....

- What are Management Review Controls (MRCs)
- How MRC guidance applies to controls
- Common challenges faced by control owner on MRC
- How to use the management review control tool to evaluate MRC

INTRODUCTION TO MANGEMENT REVIEW CONTROLS (MRCs)

What are Management Review Controls?

- Management Review Controls (MRCs) are controls that are complex in nature and require significant judgement and specific knowledge.
- MRCs are specified in the Risk and Control Matrix (RCM).
- MRCs have heightened requirements, in terms of operation and evidencing of the control activity.

Examples of Management Review Controls

- Operating expense accruals review
- Accounts receivable aging analysis
- Income statement variance analysis
- Balance sheet variance analysis

INTRODUCTION TO MANGEMENT REVIEW CONTROLS (MRCs)



Guidance from External Auditor on MRCs

Considerations for MRCs:

- Thorough understanding of the control description
- Identify controls over the inputs used in a control
- Criteria for investigation and level of precision
- Consideration of contradictory evidence
- Level of evidence to support an MRC

Auditors are required to perform more rigorous testing over MRCs. This requires them to have detailed supporting documentation to be used within the testing.

GUIDANCE FROM EXTERNAL AUDITOR ON MRC

1 Thorough understanding of the control description

Challenge:	Suggested Action:	Summary Point:
Does the control owner have a thorough understanding of the control description, including the activities/steps, and the individual design factors?	Review the control description and make sure a thorough understanding has been documented. A well-documented understanding includes the following: • Identification of all inputs (i.e., reports or information) and their source • The activities / steps performed by the control owner, including the activities / steps for each key assumption. This includes how the activities / steps address the appropriateness of the approach and calculations made in the determination of the estimate. • How the approach and computations comply with GAAP / IFRS • These activities / steps should focus on the control procedures and not the process steps. • Final conclusion, approval, and output (i.e., memo or report).	A thorough control description establishes a mutual understanding between management and the auditor of the inputs used in the control, the activities / steps performed by the control owner, and the final approval and output.

So what? The control owner needs to understand the control and documentation of the description, guidelines and output.

GUIDANCE FROM EXTERNAL AUDITOR ON MRC

2 Identify controls over the inputs used in a control

Challenge:

Does the control owner understand the inputs used in the control, and have they tested the controls over such inputs? Does the control owner understand if there are controls that this control relies upon to be effective?

Suggested Action:

- Understand the source(s) of all inputs.
- Identify and document those controls that address the reliability (i.e., completeness and accuracy) of the report

➢ Example: At month-end, the controller reviews and challenges the proposed AR provision, which is based on the AR Aging Report ("the input") for the review. The input can be run on demand by credit & collections staff, but no user-entered parameters are required to be entered. The report logic program and the database from which the input is extracted are subject to general IT controls (e.g., access and program change controls). The controller's review of the allowance for doubtful receivables uses the input; therefore, the controls over the completeness and accuracy of the input are relevant, as the controller is relying on the IT system and general IT controls to generate the input.

Summary Point:

By clearly documenting controls over the inputs, management and the auditor are effective in testing that the reports used in a control are complete and accurate and are not placing overreliance on the inputs.

So what? The control owner needs to ensure all inputs have been identified and procedures over the inputs, including IUC requirements, have been documented.

GUIDANCE FROM EXTERNAL AUDITOR ON MRC

3 Criteria for investigation & level of precision

Challenge:	Considerations may include:	Suggested Action:	Summary Point:
Does the control owner understand the criteria for investigation and the follow up procedures performed?	• What is the control owner looking for? • How does the control owner determine those items to investigate, and how are they resolved? Are significant items without variances contemplated? • Is the precision (i.e., the level of investigation and follow-up) sufficient to address the risk(s)?	• Review each MRC and make sure the above items are clear, including any thresholds applied in the review and how items are to be investigated and resolved. • Identify those MRCs with no thresholds documented and consider how the control is consistently executed and what evidence will be provided to the auditor.	Enhanced documentation of the criteria and level of investigation and follow-up provides management and the auditor with an appropriate understanding of how the control is sufficiently precise to address the risk(s).

So what? The control owner needs to have defined the quantitative and qualitative criteria for investigation. This may include use of the Threshold Setting tool as needed.

GUIDANCE FROM EXTERNAL AUDITOR ON MRC

4 Consideration of contradictory evidence

Challenge:	Considerations may include:	Suggested Action:	Summary Point:
Does the control owner understand if they have considered and responded to contradictory evidence?	• What procedures were performed to identify contradictory evidence? • Does the control address the risk of individual bias? • Were other viewpoints within the company contemplated?	• Review each MRC and make sure the above items are clear, including how the control owner considered contradictory evidence and specifically what was considered in evaluating such evidence. • When appropriate, consider adding a specific step (e.g., common examples or sources of contradictory information) to the control description.	Clear documentation provides management and the auditor with an understanding of how the control owner considered contradictory information, when necessary, in the performance of the control.

So what? The control owner needs to have considered if there is any contradictory information and if any is identified, document how this does or does not change the conclusions reached.

GUIDANCE FROM EXTERNAL AUDITOR ON MRC

5

Level of evidence to support an MRC

Challenge:

Does the control owner understand how an assumption or support was determined as reasonable? And does the control owner have evidence to support each activity/step of the control?

Suggested Action:

- For each MRC, evaluate the evidence (e.g., meeting minutes, memos/analyses, journal entries) and how it is captured and documented for each activity / step and make sure that it supports the control owner's assessment.
- Evidence should be maintained to support each activity / step as specified in the control description.

Summary Point:

Maintaining sufficient evidence provides management and the auditor with support that the review activity actually occurred (i.e., the control was designed and operating effectively).

So what? The control owner needs to have detailed documentation to show the thought process during the review and why they are satisfied with the final output.

MANGEMENT REVIEW CONTROLS (MRCs)

A reviewer should not just be a “collector of information” but instead should document what they did with that information including discussions held and challenges of the information.

The reviewer must document **why** they are satisfied.

KNOWLEDGE CHECK

True or False:

Management Review Controls require a significant amount of judgement, and it is essential for the reviewer to document why they are satisfied with the conclusions made during the review.



PCAOB heightened requirements drive management and auditor considerations for MRCs.



Control Owners must determine by themselves which controls in the risk control matrix are management review controls.

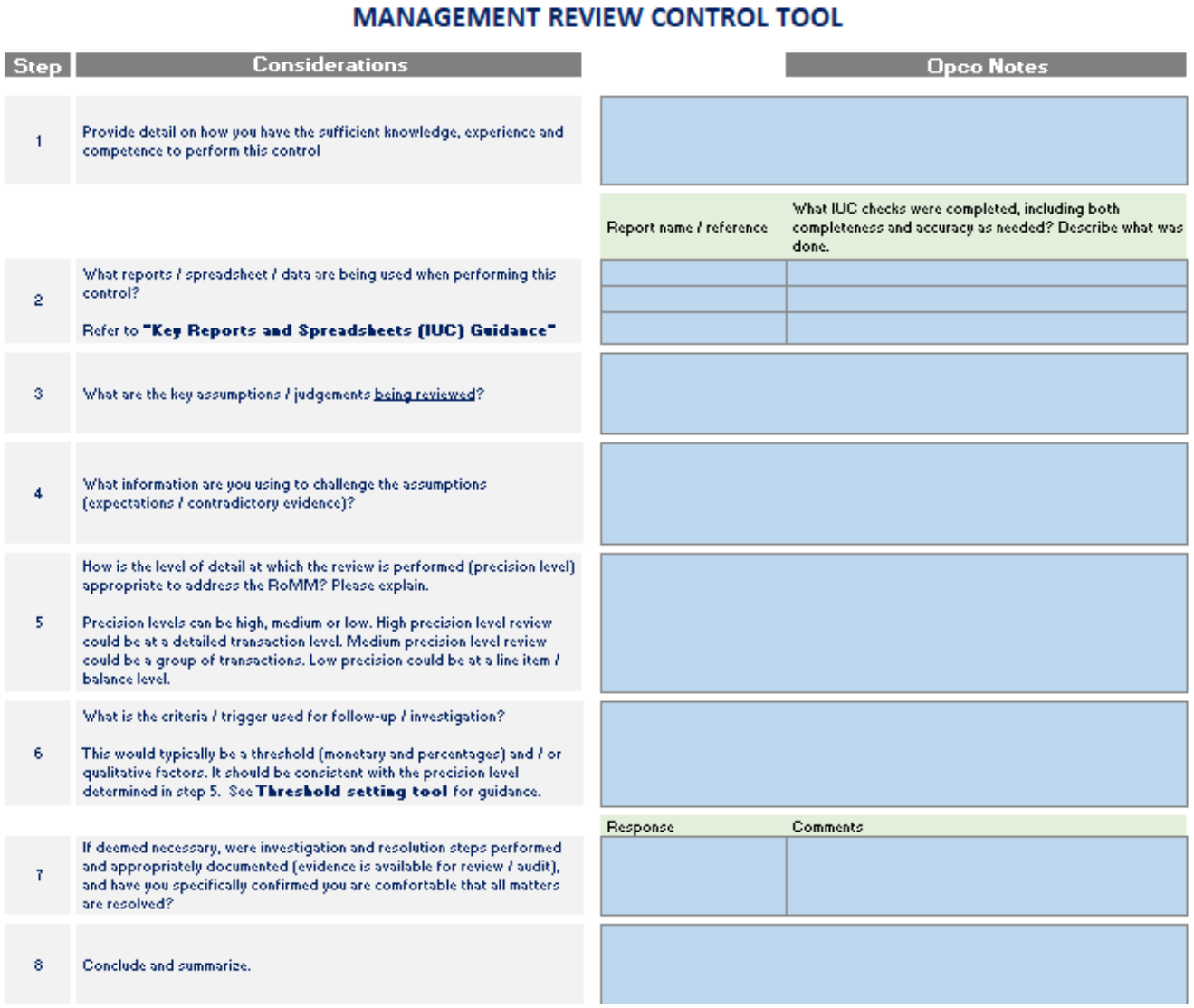


MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

The management review control tool template is published on InsideWPP and has been prepared to guide the control owner through the process of performing and documenting MRC controls.

There must be supporting evidence and documentation that accompanies this template. The template does not replace the underlying supporting evidence that must be maintained.

Link: [WPP Tools and Templates - insideWPP]



MANAGEMENT REVIEW CONTROL TOOL

Step	Considerations	Opco Notes
1	Provide detail on how you have the sufficient knowledge, experience and competence to perform this control	
		Report name / reference: What IUC checks were completed, including both completeness and accuracy as needed? Describe what was done.
2	What reports / spreadsheet / data are being used when performing this control? Refer to **"Key Reports and Spreadsheets (IUC) Guidance"**	
3	What are the key assumptions / judgements being reviewed?	
4	What information are you using to challenge the assumptions (expectations / contradictory evidence)?	
5	How is the level of detail at which the review is performed (precision level) appropriate to address the RoMM? Please explain. Precision levels can be high, medium or low. High precision level review could be at a detailed transaction level. Medium precision level review could be a group of transactions. Low precision could be at a line item / balance level.	
6	What is the criteria / trigger used for follow-up / investigation? This would typically be a threshold (monetary and percentages) and / or qualitative factors. It should be consistent with the precision level determined in step 5. See **Threshold setting tool** for guidance.	
		Response: Comments
7	If deemed necessary, were investigation and resolution steps performed and appropriately documented (evidence is available for review / audit), and have you specifically confirmed you are comfortable that all matters are resolved?	
8	Conclude and summarize.	

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE: STEPS 1, 2 AND 3

The table below shows an extract of the template with explanations on the respective steps.

Step	Considerations (MRC Template)	Guidance Notes
1	Provide detail on how you have the sufficient knowledge, experience and competence to perform this control	Ensure the individual reviewing the control is appropriate. Items to consider are level, knowledge of review area and overall competency.
2	What reports / spreadsheet / data are being used when performing this control? *Refer to "Key Reports and Spreadsheets (IUC) Guidance"* Link: *WPP Controls Guidance - insideWPP*	Verify that Information Used in the Control (IUC) procedures have been performed. The template should capture all IUC checks used and indicate whether the required procedures were performed in line with the 'Key Report and Spreadsheet' guidelines.
3	What are the key assumptions / judgements being reviewed?	Understand the key assumptions or judgements utilized in the control and require reviewer's detailed review. Documentation of the key assumptions or judgements investigated should be kept as additional support.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE: STEPS 4 AND 5

Step	Considerations (MRC Template)	Guidance Notes
4	What information are you using to challenge the assumptions (expectations / contradictory evidence)?	The assumption should be challenged by the reviewer based on their knowledge, expectations or other contrary evidence. Documentation of the detailed review and challenge should be kept as additional support.
5	How is the level of detail at which the review is performed (precision level) appropriate to address the Risk of Material Misstatement (RoMM)? Please explain. Precision levels can be high, medium or low. High precision level review could be at a detailed transaction level. Medium precision level review could be a group of transactions. Low precision could be at a line item / balance level.	The level of detail which the control review is being performed is based on the precision level. At a high precision, the reviewer has to perform a detailed review at the transaction level, whilst a low precision could have the reviewer performing a review at the sum-total line item or balance level. The reviewer should understand at what level of detail the review is being performed based on purpose of the control, level of aggregation, consistency of performance, correlation to relevant risks, criteria for investigation and predictability of expectation.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE: STEPS 6, 7 AND 8

Step	Considerations (MRC Template)	Guidance Notes
6	What is the criteria / trigger used for follow-up / investigation? This would typically be a threshold (monetary and percentages) and / or qualitative factors. It should be consistent with the precision level determined in step 5. See Threshold setting tool for guidance. *Link: WPP Tools and Templates - insideWPP*	Determine the criteria for investigation, including quantitative and qualitative. The Threshold Setting tool provided could be utilized in this step. Documentation of the items investigated should be kept as additional support.
7	If deemed necessary, were investigation and resolution steps performed and appropriately documented (evidence is available for review / audit), and have you specifically confirmed you are comfortable that all matters are resolved?	Confirm sufficient investigation or follow-ups are performed based on review and challenging of conclusions. Documentation of the items investigated should be kept as additional support.
8	Conclude and summarize.	Provide an overall conclusion of review and procedures performed, with reference to additional supporting documentation. It should also include why the reviewer is satisfied with the output and information reviewed.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

The example below on REG53.1 is an MRC at the regional level, which is similar to CTB21.1, an MRC at the OpCo level. This will be used to illustrate how to complete the management review control template, the documentation required and maintenance of the supporting evidence in the next slides.

HYPOTHETICAL

Control Number / Title	REG53.1 - Income statement variance analyses
Control Description	Review the income statement variance analysis to identify unusual and/or significant movements
Control Guideline ***(Extract)***	1) Control Owner obtains/receives the income statement variance analyses by Opco/Market or at an aggregated level.
	2) If any report(s) or spreadsheets(s) are used in the operation of the control, Control Owner confirms the completeness and accuracy of these items per Key Reports and Spreadsheets guidelines.
	3) Ensure comparison was performed at least to compare the current period income statement to: a) latest budget/QRF – this should be performed on a monthly or Year to Date basis AND b) same period against the same prior year period on a monthly or Year to Date basis
	4) Ensure all variances over threshold or otherwise unusual have been investigated and explained
	5) Ensure investigation includes appropriate supporting documentation explaining the variance
	6) Ensure the review is performed timely.
	7) Document the review and retain evidence of the performance of the control, including supporting documentation. The supporting documentation must be maintained in accordance with the WPP Control Documentation Guidance.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

Example to show how REG53.1, management review control on income statement variance analysis is documented in the MRC template:

HYPOTHETICAL

Control number	*REG53.1*
What is the RoMM (see RCM)	*Income Statement Variance Analysis - Regional Income Statement is not complete or accurate*
What are the BFC accounts affected	*All*

Step	Considerations	Opco Notes
1	Provide detail on how you have the sufficient knowledge, experience and competence to perform this control	*Regional Financial Controller - Responsible for review and consolidation of opco companies within our network.* *I have a detailed understanding of the expected movement in the income statement beased on my cumulative understanding and knowledge of the business through my five (5) years with the organization*
2	What reports / spreadsheet / data are being used when performing this control? Refer to **"Key Reports and Spreadsheets (IUC) Guidance"**	Report name / reference: What IUC checks were completed, including both completeness and accuracy as needed? Describe what was done. *Trading Review File* — *Review of trading file reports and supporting commentary*
3	What are the key assumptions / judgements being reviewed?	*The main assumption is that the income statement is expected to stay fairly consistent from the current period versus (1) prior-year ending balances and (2) same period prior year.*

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

HYPOTHETICAL

4	What information are you using to challenge the assumptions (expectations / contradictory evidence)?	*Based on the thresholds determined, all changes against the comparative periods above the threshold are investigated. Additionally, I have furhter challenged if all of the supporting detail is accurate and consistent with my understandig of the income statement movements for the period. Please refer to supporting documentation - including evidence obtained to validated explanations provided.*
5	How is the level of detail at which the review is performed (precision level) appropriate to address the RoMM? Please explain. Precision levels can be high, medium or low. High precision level review could be at a detailed transaction level. Medium precision level review could be a group of transactions. Low precision could be at a line item / balance level.	*Yes, given the RoMM is verifying the overall income statement is complete and accurate, the review of the income statement line items with investigation into all significant items provided the low precision desired.*
6	What is the criteria / trigger used for follow-up / investigation? This would typically be a threshold (monetary and percentages) and / or qualitative factors. It should be consistent with the precision level determined in step 5. See **Threshold setting tool** for guidance.	*In line with the threshold setting tool, we determined the threshold for this control is $500,000 at the opco level.*
7	If deemed necessary, were investigation and resolution steps performed and appropriately documented (evidence is available for review / audit), and have you specifically confirmed you are comfortable that all matters are resolved?	Response: *Yes* Comments: *See the supporting documentation for evidence on all items investigated and my further challenging and review of the items*
8	Conclude and summarize.	*The December 2020 Income statement variance analysis has been completed and the supporting documentation provided the appropriate detail for me to determine all items have been investigated as needed.*

Additional comments:

See supporitng documentation with notations and comments

Control Owner Details	
Control Owner Name	*Trevor Smith*
Job Title	*Regional Controller*
Review Date	*12-Jan-21*

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

Example to show the supporting evidence maintained and the documentation explaining why the control owner is satisfied with the conclusion that REG53.1 is operating effectively:

HYPOTHETICAL

Supporting Evidence & Documentation of Review By Control Owner

Revenue Analysis

- Revenue up $+3.7M
- Unexpected uplift and unusual items investigated – key driver for this were;
  - Client revenue up $+.02M
    - Unexpected CY rebateds $.05M and reduction in MC/UB of $-0.6M in addition to further reduction in costs – ref email communcation with XXX and further discussion with CFO

      I reviewed the email and have attended meeting discussing the client revenue for the period that is consistent with the detail in the email. Based on this detail, I am satisfied that the above conclusions are accurate.
  - Trading revenue up $+2.4M
    - Driven mostly by display activity which was up $1.1M – reviewed with Finance Trading Manager and review of Trading summary report (ref. Trading summary report). Shift to digital trade is reasonable as a result of COVIS via increase useage of computers with hight level of display time and trend which will continue

      I reviewed the trading report and notations on the report. Based on this detail, I am satisfied that the above conclusions are accurate.

Remarks on Documentation

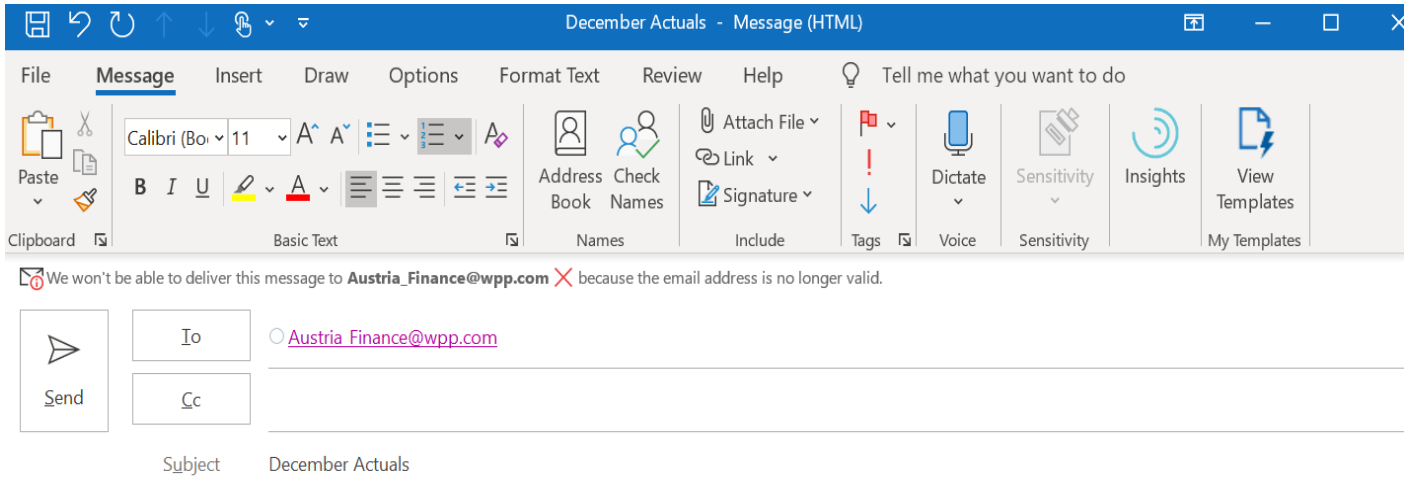
1) Review begins with clearly documenting what was reviewed i.e., revenue movements and that and these were investigated and challenged.

2) Reviewer continues to elaborate on (1) by documenting movements in further detail, who (including names and job titles) these were challenged/investigated with and when. This is further supported by screenshots of the correspondence [see (3) in next slide]. The reviewer then continues to provide a conclusion that they were satisfied with the responses they received for the significant movements.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

HYPOTHETICAL

Supporting Evidence & Documentation of Review By Control Owner



Dear John Doe,

I have a few questions on Austria December revenue actuals, can you please revert back:

1) What is driving the $521k upside in CY rebates? Was this not known at Q3RF? It is due to the increase in TV and radio spending, mainly with Client 1 and Client 2.
2) Why do we have the £561k downside in MC/UB? There was a recalculation of unclaimed balances ($-1.2m) being reclassed to media credits ($+0.7m) as well as remaining amount driven by Vendor 1, Vendor 2 and Vendor 3

Thank you,
Sam Smith (Regional FC)

Remarks on Documentation

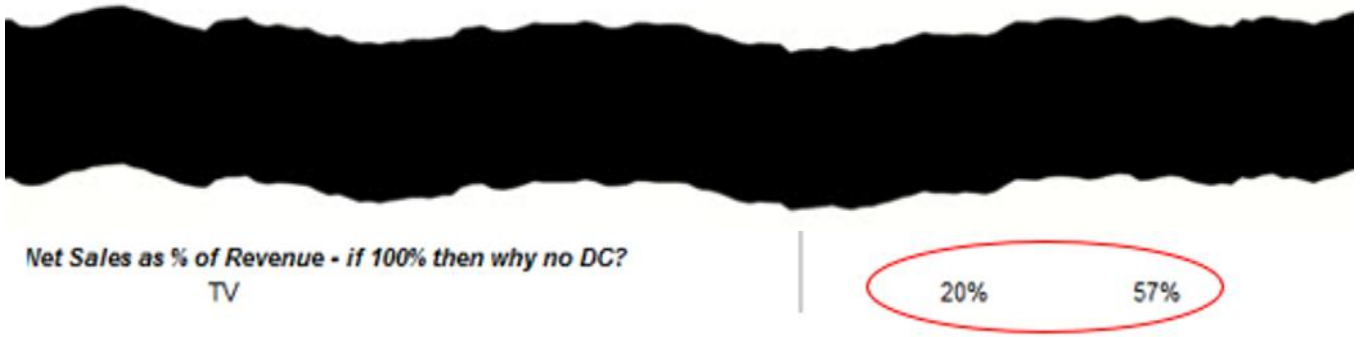
3) Reviewer has retained and filed the email trail where enquiry / challenge / investigation for movements was made and attached to the MRC template

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

HYPOTHETICAL

Supporting Evidence & Documentation of Review By Control Owner

Trading File Summary & Review:



John Doe: Net sales increase $+1.3m due to a combination of increased billing primarily driven by Trading and some increased in client revenues (client 1, client 2 and client 3), offset by one off adjustment to media credits of $-0.6m for old adjustments and cash discounts decline of $-0.5m in line with our expected expectations.

Remarks on Documentation

4) Reviewer has also attached the trading file report and summary which was obtained by the opco. This was also included as a key report within the MRC template.

Maintaining supporting evidence and documentation that accompanies the MRC template

Regional Finance reviewer has attached a revenue commentary summary and included all the schedules reviewed, original opco review comments and email trails evidencing their own challenge/investigation of revenue movements with finance peers. This should all be attached as support to the MRC template.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

Another example of MRC is APA06.1 as shown in the table below. This will be used to illustrate how to complete the management review control template, the documentation required and maintenance of the supporting evidence in the next slides.

HYPOTHETICAL

Control Number / Title	APA06.1 - Operating Expense Accrual
Control Description	Review the accruals related to operating expenses to determine completeness and accuracy of the accruals.
Control Guideline *(Extract)*	1) Control Owner obtains/receives monthly operating expense accruals and underlying source documents
	2) If any report(s) or spreadsheets(s) are used in the operation of the control, Control Owner confirms the completeness and accuracy of these items per Key Reports and Spreadsheets guidelines.
	3) Control Owner confirms appropriateness of the accruals' calculation through validating that each accrual is supported by documentation for goods/services received and the accrual is complete and accurate. Control Owner confirms accruals are recorded in local books for the relevant month end.
	4) A threshold can be applied. Ensure the threshold is defined and supported by an appropriate rationale.
	5) Review and approve within a timely manner
	6) Document the review and retain evidence of the performance of the control, including supporting documentation. The supporting documentation must be maintained in accordance with the WPP Control Documentation Guidance.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

Example to show how APA06.1, management review control on operating expense accrual review is documented in the MRC template:

HYPOTHETICAL

Control number	*APA06.1*
What is the RoMM (see RCM)	*Accruals related to general expenses are not complete and accurate*
What are the BFC accounts affected	*Operational costs accruals and operational costs expense*

Step	Considerations	Opco Notes
1	Provide detail on how you have the sufficient knowledge, experience and competence to perform this control	*Financial Controller performing the control - Responsible for review of operating expense accruals for completeness and accuracy.* *I have good knowledge of the operating expenses and a detailed understanding and knowledge of the business in my position as Financial Controller through my five (5) years with the organization.*
2	What reports / spreadsheet / data (IPE) are being used when performing this control? Refer to **"Key Reports and Spreadsheets (IPE) Guidance"**	Report name / reference: *Operational costs accruals* What IPE checks completed, including both completeness and accuracy as needed? Describe what was done.: *PDF report of POs listing*
3	What are the key assumptions / judgements <u>being reviewed</u>?	*The main assumption is that all operational costs are recognized on the correct period.*
4	What information are you using to challenge the assumptions (expectations / contradictory evidence)?	*All operating expense accruals has to be supported with goods receipt note or service reports to show that the services has been received from the vendor. All non-accruals of material PO's > £200k are investigated. Additionally, I have further challenged if the supporting detail of the accruals is accurate and consistent with my understanding of the operating expenses in the organization. Please refer to supporting documentation.*

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

HYPOTHETICAL

5	How is the level of detail at which the review is performed (precision level) appropriate to address the RoMM? Please explain. Precision levels can be high, medium or low. High precision level review could be at a detailed transaction level. Medium precision level review could be a group of transactions. Low precision could be at a line item / balance level.	*In view that the control is to mitigate the risk that the accruals are not complete and accurate, the review of the PO Report is at high precision ie PO transaction level.*
6	What is the criteria / trigger used for follow-up / investigation? This would typically be a threshold (monetary and percentages) and / or qualitative factors. It should be consistent with the precision level determined in step 5. See **Threshold setting tool** for guidance.	*In line with threshold setting tool, we determine the threshold for this control is to follow-up or investigate non-accrual of material PO's > £200k.*

		Response	Comments
7	If deemed necessary, were investigation and resolution steps performed and appropriately documented (evidence is available for review / audit), and have you specifically confirmed you are comfortable that all matters are resolved?	*Yes*	*See supporting documentation for evidence on all items investigated and further challenge and review of items.*
8	Conclude and summarize.	*I am satisfied with the completeness and accuracy of the accrual for Dec'21. The supporting documentation provided the appropriate detail for me to determine all items have been investigated as needed.*	

Additional comments:

See supporting documentation with notation and comments.

Control Owner Details	
Control Owner Name	*Paul Smith*
Job Title	*Financial Controller*
Review Date	*31-Dec-21*

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

Example to show the supporting evidence maintained and the documentation explaining why the control owner is satisfied with the conclusion that APA06.1 is operating effectively:

HYPOTHETICAL

Supporting Evidence & Documentation of Review By Control Owner

Purchase Orders Export ***Extract***

Job No.	Job Name	W.C No.	W.C Description	PO Amount Currency	Currency		Invoiced To Date Curr.	PO Amount Base
205999001-038	Production Workflow & Engi	8600003501	CAPX - IT PC's/Mac/Laptops	1,480.00	GBP	Pending	0.00	1,480.00
205999001-038	Production Workflow & Engi	8600003501	CAPX - IT PC's/Mac/Laptops	53,300.00	GBP	Pending	0.00	53,300.00
205	Finance & Commercial	1745000000	Carbon Credits	588.96	GBP		0.00	588.96
205999001-038	Production Workflow & Engi	1831000000	Global Enterprise Software	990.00	GBP		0.00	990.00
205329248	NO7_UNSTOPPABLE_LIPS	6011	Cast	750.00	GBP		0.00	750.00
205999001-037	Infrastructure Services	8600004000	CAPX - Telecommunication Eq	1,332.00	GBP		0.00	1,332.00
205999001-037	Infrastructure Services	8600003501	CAPX - IT PC's/Mac/Laptops	4,611.00	GBP	Pending	0.00	4,611.00
205999003-001	HR & Recruitment Costs	1465000000	Recruitment Costs	4,650.00	GBP		0.00	4,650.00
205999002-001	Facility Costs - 164 (Floors 1	1551003500	Off Site Storage	287.00	GBP		0.00	287.00
205999002-001	Facility Costs - 164 (Floors 1	1870000500	Off Site Storage / Archive	310.39	GBP		0.00	310.39
205999002-001	Facility Costs - 164 (Floors 1	1825000000	Office Equipment Maintenance	905.50	GBP		0.00	905.50
205999004-001	Annual Purchase Orders	1460200000	Inter-Company Time Of Staff	27,584.00	GBP		0.00	27,584.00
205999004-001	Annual Purchase Orders	1540000000	Inter-Company Service & Facili	17,054.00	GBP		0.00	17,054.00
205999002-001	Facility Costs - 164 (Floors 1	8600002500	CAPX - Fixtures & Fittings	3,752.00	GBP		0.00	3,752.00
205999005-001	Tech - Small Projects and O	1887200015	3rd Party Development Third P	8,500.00	GBP	Pending	0.00	8,500.00
205999002-001	Facility Costs - 164 (Floors 1	1870000500	Off Site Storage / Archive	300.00	GBP		0.00	300.00
205999001-037	Infrastructure Services	8600004000	CAPX - Telecommunication Eq	2,936.00	GBP		0.00	2,936.00
		Total:						5,607,808.53

- **Total operating expense to be accrued for December 2021 is £67,891.**

I reviewed the purchase order report with notations 'Pending', indicating the goods or services received but where the vendor has not invoiced the organization. It is consistent with the details provided by the Procurement Team during the meetings which I have attended. Purchase orders above £200K are also investigated with the Finance Manager (J. Williams) if they are not accrued. Based on this, I am satisfied that the above conclusion is accurate

Remarks on Documentation

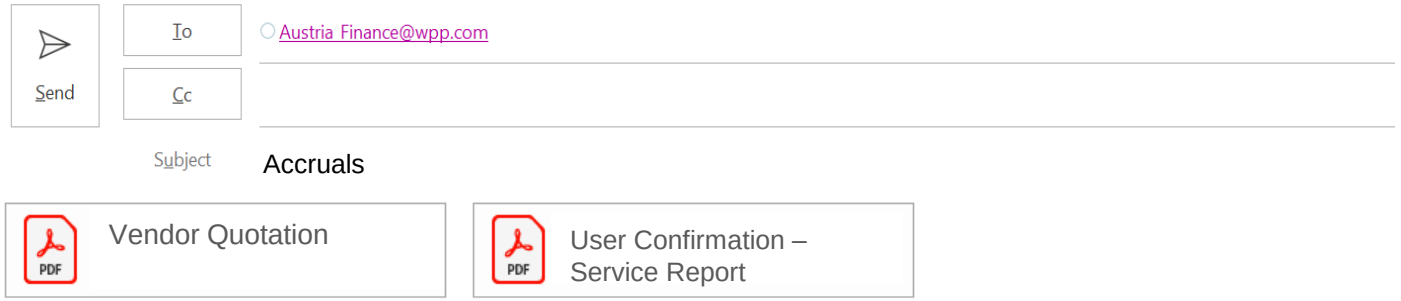
1) Review begins with clearly documenting what was reviewed i.e., purchase orders and these were investigated and challenged.

2) Reviewer continues to elaborate on (1) by documenting in further detail, who (including names and job titles) these were challenged/investigated with and when. This is further supported by screenshots of the correspondence [see (3) in next slide]. The reviewer then continues to provide a conclusion that they were satisfied with the responses they received for the accrued amount.

MANAGEMENT REVIEW CONTROL (MRC) TEMPLATE

HYPOTHETICAL

Supporting Evidence & Documentation of Review By Control Owner



Dear J. Williams,

I have a few questions on the purchase order report, can you please check and revert:

1) There is a purchase transaction that amounts to £210,000. It is on purchase of office repair services from Vendor A. Why was this not accrued? Vendor A has not provided the service this month due to internal staff resource issues. Thus, this transaction is not included in the accrual amount.

2) A purchase transaction £8,500 on third party development of a technology project is included in the accruals. What is the basis of this amount and has the services been received? It is based on the finalized quotation provided by the vendor and the good/services has been delivered to the users. Attached the vendor quotation and service report confirmed by user that the service has been completed by vendor and user is satisfied.

Remarks on Documentation

3) Reviewer has retained and filed the email trail where enquiry / challenge / investigation for accruals was made and attached to the MRC template

Maintaining supporting evidence and documentation that accompanies the MRC template

Financial Controller reviewer attached the purchase order listing with notations and commentary, as well as included all the email trails together with supporting documents evidencing their own challenge/investigation of accruals with finance peers. This should all be attached as support to the MRC template.

MANGEMENT REVIEW CONTROLS: CHALLENGES FACED BY CONTROL OWNERS ON MRCs

Some of the common challenges faced by Control Owners in performing MRCs are as follows:

Meeting Review

Control is performed at a meeting and robust minutes are not kept



Precision

Control Owner does not understand or evidence the level of precision of the control



Resolution of Follow-Up

Control Owner does not document resolution of follow up items



Reviewer Satisfaction Documentation

Control Owner does not document why they are satisfied





The ‘Control Documentation Guidance Including Management Review Controls’ may be used as a guide for documenting MRCs.

Link: WPP Controls Guidance - InsideWPP

SUMMARY

The key messages with regards to management review controls (MRCs) are:

- MRCs are controls that are complex in nature and require significant judgement and specific knowledge.
- MRCs controls are specified in the Risk and Control Matrix (RCM).
- The MRC template is published in insideWPP to facilitate the control owner in process of performing and documenting MRC controls.
- The MRC template does not replace the underlying supporting evidence that must be maintained. It is a cover sheet to summarize the work performed. The detailed documentation for MRC sits in the underlying supporting evidence that accompanies this template and the supporting evidence must be maintained
- When performing MRCs, control owner should provide an overall conclusion of the review and procedures performed, with reference to additional supporting documentation. The conclusion should also include why the control owner is satisfied with the output and information reviewed.

KNOWLEDGE CHECK

True or False:

When using the management review control (MRC) template, Control Owner may pick and choose the steps which are applicable to them as not all the steps need to be performed.



Some of the considerations when performing management review controls include:

- Key assumptions / judgements under review
- Challenges to the assumptions
- Criteria / trigger used for follow-up investigation



The management review control (MRC) template can be used to replace supporting evidence.



THANK YOU

WPP